The case against my extension was stronger and centred around my record of aggressively asserting the Reserve Bank's autonomy, contrary to the expectation when I was appointed that I would act as per the government's bidding. I botched up my chances, it was said, by differing with the government on the criteria and timing for issue of new bank licences, openly questioning the government's attempts to encroach on the autonomy of the regulators—for example, during the ULIP controversy, an issue I wrote about in an earlier chapter—and by my strident criticism of the government's fiscal laxity on the ground that it was exacerbating inflation pressures, as well as my open opposition to the establishment of FSDC. Most importantly, why would the government reward me with an extension when I kept interest rates high, completely unmindful of their pleas for a softer interest-rate regime?

An intelligent person would have surmised from the media reports that my extension was certainly not assured, but neither did it seem impossible.

There was an interesting side story running alongside around the time my extension came up for a decision, and that had to do with the unfolding 2G Scam which embroiled the UPA government in charges of mammoth corruption. The scam erupted when the CAG (comptroller and auditor general) pointed out in his audit report of 2010, huge undercharging, massive irregularities and grave procedural manipulation by the Department of Telecommunication in giving licences to telecom companies for 2G spectrum.

At the time the licences were given away in 2007–08, I was finance secretary in the Central government and was an important player in the decision process. I had written to the Department of Telecommunication in November 2007, questioning their proposal to give away 2G spectrum licences in 2007–08 at a price fixed in 2001 without any fresh effort to rediscover the price. I suggested that the pricing issue, instead of being decided unilaterally by the Department of Telecommunication, be brought before the Group of Ministers. This letter received quite a lot of play in the media, with the suggestion that the UPA leadership's inaction in preventing the issue of licences at questionably low prices despite its own finance